THE NATIONAL COMPANY LAW TRIBUNAL

BENCH V, NEW DELHI

CP (CAA)-161/230/232/ND/2019

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SCHEME OF AMALGAMATION

OF

GIVETAKE TRADE & CREDIT PRIVATE LIMITED

...(Non-petitioner/Transferor Company)

AND

INDIAN COMPRESSORS LIMITED

...(Petitioner/Transferee Company)

Order Reserved On :25.11.2021

Order pronounced On 21.1.2022

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER(J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT

For the Applicants: Mr. Naresh Kumar,Adv, Ms. Shankari Mishra for RD,

For the Respondent : Sr. Standing Counsel ZohebHossain, Jr. Standing Counsel Parth and VipulAgarwal with Sangha Shree Nath, Advocates for Income Tax Department.

MEMO Of PARTIES

In the Matter of Companies Act, 2013

Section 230 to 232

AND

In the Matter of:

GIVETAKE TRADE & CREDIT PRIVATE LIMITED

Company incorporated under the Companies

Act, 2013

Having Registered Office at 5F, Everest, 46/C,Chowringhee Road,

Kolkatta-700071, Wesh Bengal

CIN: U67120WB1995PTC07118

(Non-petitioner/Transferor Company)

AND

INDIAN COMPRESSORS LIMITED

Company incorporated under the Companies

Act, 1956

Having Registered Office at 33, 35 & 37 Okhla Industrial Estate,

New Delhi-110020;

CIN: U34300DL1943PLC00712

(Petitioner/Transferee Company)

ORDER

PER SH. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

In the matter of Amalgamation under Section 230-232 of the Companies Act 2013,

Givetake Trade & Credit Private Limitednon-Petitioner/Transferor Company and Indian Compressors Limited Petitioner/Transferee Company.

1. This is a second motion petitiondated 05.12.2019 under Sections 230-232 of the Companies Act, the Companies (Compromises Arrangements and Amalgamations) Rules, 2016 and other applicable provisions in connection with the proposed scheme of Amalgamation of Givetake Trade & Credit Pvt. Ltd. with Indian Compressors Limited. The Petitioner/Transferee Company is within the Jurisdiction of Hon'ble NCLT, New Delhi. The Non-Petitioner/Transferor Company is within the jurisdiction of NCLT,Kolkata, and hadmoved a similar petition before Hon'ble NCLT,Kolkata. Copy of order of NCLT, Kolkata, dated 18th March, 2021 has been submitted in which Hon'ble NCLT, Kolkata has sanctioned the scheme of Tribunal to be binding with effect from 01.04.2018,on Givetake Trade & Credit Pvt. Ltd. and all properties, rights and interests of Givetake Trade and Credit Pvt. Ltd to be transferred and invested in Indian Compressor Limited along with all the liabilities and duties; all the proceedings and/or suits, appeals pending by or against Givetake Trade & Credit Pvt. Ltd. shall be continued by or against Indian Compressor Ltd;the Transferee Company will issue and allot shares to the shareholders of the Givetake Trade & Credit as envisaged in the scheme of amalgamation and for that if necessary to increase the authorized share capital. The Transferor Company i.e. Givetake Trade & Credit Pvt. Ltd. shall stand dissolved on the appointed date. Any person interested will be at liberty

to apply to the NCLT, Kolkata, in the above matter for any direction that may be necessary.

2. The Board of Directors of Transferor Company and Transferee Company in the respective meetings held on 03.01.2019 have unanimously approved the proposed scheme of amalgamation. This Hon'ble Tribunal, (NCLT, New Delhi) vide its order dated 21.10.2019 was pleased to dispense with the requirement of convening the meetings of Equity Shareholders and Unsecured Debenture Holders of the Transferee Company; and was pleased to direct for convening of separate meetings of Secured Creditors and Unsecured Creditors of the Transferee Company under its supervision for considering and approving the proposed Scheme of Amalgamation. Accordingly, separate meetings of Secured Creditors And Unsecured Creditors were held on 23.11.2019 at 2.30 PM and 3.30PM respectively under the supervision of this Hon'ble Tribunal. The Scheme of Amalgamation was unanimously approved in each of these meetings. Five Secured Creditors who attended the meeting holding 95.46% value of votes voted in favour of the proposal. Likewise 20 Unsecured Creditors who attended the meeting representing25.31% value of votes approved the Scheme. Accordingly, it has been prayed to sanction the Scheme of Amalgamation and declared the same to be binding with effect from the appointed date on the Petitioner/Transferee Company,their Shareholders, Creditors and all concerned and to take on record the schedule of properties of the Transferor Company it was also requested to publish the notice of hearing of this Petition In Business Standard, English and Hindi, Delhi editions and to serve notice on the Central Government through RD,Northern Region, Ministry of Corporate Affairs, Registrar of Companies(RoC), Delhi and Haryana,the Official Liquidator(OL), Ministry of Corporate Affairs and the Income Tax Department vide the Second Motion Petition dated 05.12.2019.In

compliance with order dated 11.12.2019 of this Hon'ble Tribunal, the petitioner published notice of hearing of the petition in Business Standard, English and Hindi, Delhi editions and also served notice of the petition to the Statutory Authorities namely RD, RoC, OL and Income Tax Department. It is also submitted that there is no other sectoral regulator, having significant bearing on the operation of the petitioner Company and that nobody has filed any objection or made any representation against the proposed Scheme of Amalgamation.

3. It is submitted that the Petitioner Transferee Company Indian Compressor Limited CIN: U34300DL1943PLC000712 was incorporated on 26.08.1943, its registered Office is situated in Okhla Industrial Estate, New Delhi and it is engaged in the business of manufacturing, trading, leasing and maintenance of compressors, pumps, spares, etc. Its authorised Share Capital is Rs. 5,50,00,000/- divided into 55,00,000 Equity Shares of Rs. 10 each. The issued, subscribed and paid up share capital is Rs. 4,99,74,420/-; the Transferee Company had submitted its audited accounts for the year ended 31.03.2018 along with the first motion application. It has also prepared its unaudited Provisional Financial statements for the year ending 31.03.2019 which has also been submitted with the first motion application. Subsequent to the date of the unaudited Provisional Financial Statements, there has been no substantial change in the financial position of the Transferee Company except those arising out of normal course of business. As on the date of the petition, no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act is pending against the Transferee Company. Justification for the scheme given is that the Transferor Company is one of the promoters of the Transferee Company holding 31.81% shares; it also holds 41.5% Unsecured Debentures in the Transferee Company; both the companies have some common Directors; the other

individual promoters of the Transferee Company are also promoters of the Tranferor Company; the Transferor Company is an NBFC duly registered with RBI and presently engaged in the business of investing and financing activities, upon amalgamation, the assets of the Transferor Company will be diluted and will be deployed in the Transferee Company for better returns; the amalgamation will result in economy of scale including reduction in overhead expenses; the said scheme will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business and it will have beneficial results for the Company, shareholders, employees and all concerned. The said scheme provides as under:-

a. All assets and liabilities including Income Tax and all other StatutoryLiabilities, if any, of the Transferor Company will be transferred to and vest in the Transferee Company.

b. All the employees of the Transferor Company in service, if any, shall become the employees of the Transferee Company on and from such as given in scheme of amalgamation date without any break or interruption in service and upon terms and conditions not less favorable than those subsisting in the Transferor Company on the said date.

c. "Appointed Date" means April 1, 2018.

d. Share exchange ratio for the scheme is 1(one) Equity Share of Rs. 10 each of the Transferee Company, credited as fully paid-up, for every 1 (one) Equity Share of Rs. 10 each held in the Transferor Company-Givetake Trade & Credit Private Limited.

The report on valuation of shares and share exchange ratio has been prepared by M/s. Santinath& Associates, Chartered Accountants, Kolkata and has been unanimously accepted by the respective Board of Directors of both the Companies, a copy of the

report has already been filed along with first motion application. The proposed Scheme of Amalgamation does not envisage any Corporate Debt restructuring and will not adversely affect the rights of any of the creditors of both the Companies. The proposed scheme does not envisage any buy back of the shares. There is no proposal for reduction of share capital except to the extent of cancellation of any cross holding of shares between the two companies. It is submitted that the provisions relating to accounting treatment for the proposed amalgamation is conformity with accounting standards as prescribed under Section 133 of the Companies Act. Certificate from the Statutory Auditor of the Transferee Company to this effect have been enclosed. (Annexure P4).

4. As directed by this Hon'ble Tribunal vide its order dated 21.10.2019 on the first motion application of the Transferee Company, meetings of the Secured Creditors and Unsecured Creditors were convened after necessary publication of notice in the newspapers and sending of individual notices of meetings accompanied by explanatory statement, and the proposed Scheme of Amalgamation, form proxy and other documents to the Secured Creditors and Unsecured Creditors. It is also informed that meetings could be attended either in person or through proxy and the proxy form was also provided with the notice. Notices of these meetings along with complete set of papers were send through the Central Government through Regional Director, RoC, OL and Income Tax Department and notices of the meetings were placed on the website of the Petitioner Transferee Company. The meeting of the Secured Creditors of the Transferee Company was chaired by Mr. Ameet Singh, Advocate, the Chairperson appointed by this Hon'ble Tribunal. The Transferee Company has 8 Secured Creditors, total outstanding Rs. 12,10,07,500/-. Meeting was attended by 5 Secured

Creditors having total outstanding of Rs. 11,55,19,847/- representing 95.46% of the total amount of the Secured Creditors. All five of them voted in favour of the scheme. The meeting of Unsecured Creditors of the Transferee Company was held separately and was chaired by Mr. Ameet Singh, Advocate appointed by this Tribunal. The Transferee Company had 167 Unsecured Creditors having total outstanding of Rs. 14,15,45,065/- the meeting was attended by 20 Unsecured Creditors having total outstanding of Rs. 3,58,33,187/- representing 25.31% of the total amount of Unsecured Creditors. The quorum fixed by the Hon'ble Tribunal for the meeting was 40 in numbers and 15% in value. As the number present in the meeting did not satisfy the quorum in numbers, the meeting was adjourned for half an hour and re-convened thereafter. As per the order dated 21.10.2019 of this Tribunal the persons present in the re-convened meeting was treated as proper quorum. The resolution was passed unanimously in the meeting of Unsecured Creditors. Reports of the Chairperson for both the meetings have been filed. The schedule of properties of the Transferor Company has been placed as Annexure P12 of the petition.

5. We have perused the documents as also report of the various Statutory Authorities and heard the learned counsels for the petitioner, RD, OL and Income Tax Authorities. The report of Regional Director, Northern Region and Ministry of Corporate Affairs has been submitted on 14.09.2021. As per the report of the RD, the clause 8 of the proposed scheme provides for the protection of the interest of the employees of the Transferor Company, and as per clause 10 of this scheme, the swap ratio for the proposed amalgamation is as under:-

> To every equity Shareholder of Transferor Company, one Equity Share of Rs. 10 each credited as fully paid up in the Transferee Company for every one Equity Share of Rs. 10 each fully paid up

held by such Equity Shareholder in the Transferor Company. The valuation report dated 24.12.2018 has been issued by M/s. Santinath & Associates, Chartered Accountants, in which it has been mentioned that fair value of the shares of these companies has been ascertain by two methods namely Asset Method and Income Approach Method, on the basis of the last audited balance sheet as on 31.03.2018. The RoC has also reported that they have not received any complaint/objection from any Shareholder, Creditor or other stakeholders of the captioned companies with regard to the proposed Swap Ratio and matter found in the scheme.

The RD has stated that on examination of the contents of Scheme of Amalgamation along with reply of petitioner Company and report of RoC, Delhi, the scheme does not appear to be violating the provisions of section 230-232 of the companies Act.

The Income Tax Department has stated that the Transferee Company has submitted all Income Tax Returns due up to Assessment Year 2019-20 and approval to the scheme may be granted upon resolving the rights of the Income Tax Department to initiate/continue any proceedings under the Income Tax Act in case of Transferor and Transferee Company and to determine the tax implications of the Amalgamation and to safeguard the interest of the revenue against pending demands and all demands likely to arise in the future. The Official Liquidator in his report has stated that all the undertakings and entire business and all properties of the Transferor Company will be transferred/invested in the Transferee Company and all staff, Workmen, Officers and Employees of the Transferor Company shall become the staff, Workmen, Officers and Employees of the Transferee Company without any interruption of the service on terms as favourable as

those on which they have been currently engaged by the Transferor Company; the OL has not received any complaint against the proposed Scheme of Amalgamation from any person interested in the Scheme. The OL submitted that he is of the view that the affairs of the Transferee Company do not appear to have been conducted to be prejudicial to the interests of its members or to public interest.

The Transferor Company being NBFC, they have obtained no objection certificate dated 12.02.2021 from the RBI and RBI has advised them to intimate the date of sanction of Scheme by Hon'ble NCLT along with certified copy of the order and surrender original certificate of registration within one month from the date of the order. The RBI approval is valid for the six months from the date of the issue of the letter. Hon'ble NCLT, Kolkata has already passed order with respect to the Transferor Company on approving the Scheme of Amalgamation on 18.03.2021. However, the petitioner will ensure that the conditions of NOC laid down by RBI are fulfilled and fresh approval of RBI may be sought, if required.

6. In view of above the Scheme of Amalgamation of Givetake Trade &Credit Private Limited with Indian Compressors Limited as given in (Annexure P1) of the petition is hereby approved. The same shall be binding with effect from the appointed dated i.e. 01.04.2018, on the Petitioner Transferee Company, its Shareholders, Directors and all concerned. The schedule of properties of the Transferor Company at P12 is annexed herewith and all these assets will stand transferred to the Petitioner Transferee Company with effect from appointed date. All the properties rights and interest of Givetake Trade & Credit Private Limited as given in that Annexure P12 shall become properties, rights and interest of Petitioner Transferee Company.

All liabilities and duties of Givetake Trade & Credit are transferred and become liabilities and duties of the Transferee Company. All proceedings and or suits/appeals now pending by or against Givetake Trade & Credit Private Limited shall be continued by or against the Transferee Company.

Transferee Company will issue and allot shares to the Shareholders of Givetake Trade & Credit Private Limited as envisaged in the Scheme of the Amalgamation and for that if necessary will increase the authorized Share Capital. Both the companies shall within 30 days after obtaining separate copy of this order because the same to be delivered to the RoC consent.

Any person interested will be at liberty to apply this Tribunal in the above matter for any direction that may be necessary.

The second motion petition is **allowed** in aforesaid terms.

-Sd-

21/1/2022

(AVINASH K. SRIVASTAVA)
Member (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
Member (J)